IN THE NATIONAL COMPANY LAW TRIBUNAL: NEW DELHI

(COURT - II)

C.A. (C.A.A)-77/ND/2023

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

M/s Agra Chains Private Limited ... **Applicant No. 1/ Transferor Company**

WITH

M/s ACPL Exports Private Limited ... **Applicant No. 2/ Transferee Company**

AND

Their Respective Shareholders And Creditors

Order delivered on 22.12.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)
SH. ATUL CHATURVEDI, HON'BLE MEMBER (T)

PRESENT

For the Applicant : Adv. Saheb Singh Chadha, Adv. Kaustubh Prakash, Adv. Hita Sharma

For the Respondent :

ORDER

PER: SH. ASHOK KUMAR BHARDWAJ, MEMBER (J)

The captioned application has been preferred under Section 230 to 232 of Companies Act, 2013 (hereinafter referred to as "**the Act**") read with the Companies (Compromise, Arrangements & Amalgamations) Rules, 2016 and other applicable provisions for approval of the Scheme of Amalgamation (hereinafter referred to as **"Scheme"** for brevity), as contemplated between the Companies, their Shareholders and Creditors. A copy of the Scheme is on record. The particulars of the Companies proposed to be amalgamated, as placed on record by the Applicants, are noted hereinafter.

2. M/s Agra Chains Private Limited (hereinafter referred to as the **"Applicant Company – I/Transferor Company**) having CIN – U36100DL 1978PTC419281 is a company incorporated on 11.04.1978 in terms of the provisions of the Companies Act, 1956, and is having its Registered Office at X-31, Okhla Industrial Area, Phase – II, New Delhi – 110020.

3. M/s ACPL Exports Private Limited (hereinafter referred to as the **"Applicant Company – II/Transferee Company**) having CIN – U51109DL 2008PTC175956 is a company incorporated on 27.03.2008 in terms of the provisions of the Companies Act, 1956, and is having its Registered Office at X-33, Okhla Industrial Area, Phase – II, New Delhi – 110020.

4. The present Petition has been preferred jointly by the Transferor Company and the Transferee Company. Both the 'Transferor' and 'Transferee' Companies are hereinafter jointly called 'Applicant Companies'. The

Registered Offices of both the Companies being in Delhi, the present Application is amenable to the jurisdiction of this bench.

5. The Applicant Companies have filed their respective Memorandum of Association as well as the Articles of Association inter alia delineating their object clauses which are on record at Annexures – C1 & D1 to the present application. The copy of Valuation Report has been placed on record as Annexure – B. Copies of the Audited Financial Statements for the Financial Year ending March 31, 2022 and provisional financial statements for the Financial Year ending March 31, 2023 qua the Applicant Companies are also there on record.

6. As far as the present application is concerned, it can be seen from the record that the Board of Directors of the Applicant Companies vide separate meetings held on 01.09.2023 have approved the proposed 'Scheme of Arrangement' for the Merger of Transferor Company with and into the Transferee Company. The excerpts from the Board Minutes are found annexed along the Application as Annexures - C3 and D3, respectively.

7. The rationale of the Scheme reads thus:

> *"i. As both the Companies are engaged in similar line of businesses, therefore, in order to leverage their existing strength and capabilities, it is proposed to amalgamate the Transferor Company with and into the Transferee Company.*
>
> *ii. The Companies are belonging to the same promoter group and accordingly, consolidation of the Companies by way of amalgamation would lead to more efficient utilization of capital for continued operations of the Transferee Company and help achieve a streamlined structure.*

iii. Creation of focused platform for future growth and continuous development of Transferee Company.

iv. Significant reduction in multiplicity of legal and regulatory compliances.

v. Elimination of administrative functions and multiple record keeping, thus resulting in reduced expenditure and also achieving economies of scale."

8. On perusal of Clause 18.1 of the proposed Scheme, we have noted that as a ramification of amalgamation of Transferor Company with Transferee Company, the Transferee Company, after giving effect to cancellation of cross shareholding between the Transferor Company and Transferee Company, without any further act, deed, instrument, application or agreement, shall issue and allot equity shares to the equity shareholders of the Transferor Company in the ratio, mentioned in the Application. The ratio so mentioned reads thus:

> *"For every 1 (One) equity share of face value of Rs. 100/- (Rupees Hundred only) each held in the Transferor Company, as on Record Date, 1 (One) equity share of face value of Rs. 10/- (Rupees Ten only) each of Transferee Company."*

9. The valuation exercise has also been carried out to determine the share exchange ratio by Mr. Arpit Baslas, Registered Valuer, (SFA) IBBI Registration No. IBBI/RV/03/2020/13260. The copy of the Report on Valuation of Shares & Share Exchange Ratio has been annexed to the Application at Annexure B.

10. The Applicant Companies have also enclosed the Consent Affidavits qua the proposed Scheme as given by its Equity Shareholders along with the list

of Equity Shareholders as Annexures C4 and D4 to the application.

11. They have also enclosed with the Application, the Consent Affidavits qua the proposed Scheme as given by its Secured Creditors along with the list of Secured Creditors as Annexures C5 and D5 respectively.

12. They have also enclosed with the Application, the Consent Affidavits qua the proposed Scheme as given by its Unsecured Creditors along with the list of Unsecured Creditors as Annexures C6 and D6 respectively. It is duly taken on record.

13. The Applicant Companies have also placed on record the Certificates from the Statutory Auditors certifying that the accounting treatment as specified in the draft Scheme is in compliance of the Accounting Standards and other Generally Accepted Accounting Principles (GAAP) as applicable. The certificates have been annexed with the application as Annexure C7 and D7 respectively.

14. As has been stated in Para 11(j) of the application, all employees of the Transferor Company in service as on Effective Date shall become employees of the Transferee Company without any break or interruption in service and the terms and conditions of their service after such transfer shall not in any way be less favourable to them than those applicable to them immediately preceding the Effective Date of transfer.

15. The position of Shareholders and Creditors as also their Consent through Affidavits qua the Applicant Companies can be summarised as below:

Particulars	Applicant Companies	
	I	II
No. of Equity Shareholders as on May 31, 2023	6	8
Total value of equity shares (in Rs.)	9,50,000/-	25,00,000/-
Consents Given	All *[holding 100% of the total paid-up equity share capital]*	All *[holding 100% of the total paid-up equity share capital]*
No. of Secured Creditors as on May 31, 2023	2	2
Value of Secured Debt (in Rs.)	92,81,283.91/-	10,87,55,410.66/-
Consents Given	All *[having 100% debt of the total debt due to the secured creditors]*	All *[having 100% debt of the total debt due to the secured creditors]*
No. of Unsecured Creditors as on May 31, 2023	18	16
Value of Unsecured Debt (in Rs.)	1,13,07,556.17/-	36,32,68,416.14/-
Consents Given	16 *[having 99.15% of the total debt due to unsecured creditors]*	09 *[having 94.26% of the total debt due to unsecured creditors]*

16. As per the stand taken by Applicants in the application, the Transferor Company has 18 Unsecured Creditors and the Transferee Company has a total of 16 Unsecured Creditors.

17. In the wake of the pleadings and documents put forth by the Applicant Companies and the prayer made in the Company Application, it is ordered:

I. The requirement of convening the meeting of the Equity Shareholders, Secured Creditors qua the Applicant Companies is dispensed with in the wake of the consent affidavit given by all the Shareholders and Secured Creditors (comprising 100% in value and number).

II. The requirement of convening the meeting of the Unsecured Creditors qua Applicant Companies is dispensed with in the wake of the consent affidavit given by majority of the Unsecured Creditors (comprising 99.15% and 94.26% in value and number).

18. On completion of the exercise as above, the Applicant Company shall be entitled to move an application for approval of the proposed Scheme, before this Tribunal. With 2nd Motion application the Applicant Company shall specifically enclose an affidavit in terms of the provisions of Section 230(2)(c) of Companies Act, 2013.

19. The Court Officer/Registry is directed to send a copy of this order to the Applicant Company for necessary steps to be taken at their end.

20. The Applicant Companies shall serve a copy of this Order upon:

i. the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi;
ii. the Registrar of Companies, Delhi and Haryana, New Delhi;
iii. Official Liquidator
iv. the Income Tax Department.

21. **The Application is disposed of in the aforesaid terms.**

Sd/-
(ATUL CHATURVEDI)
MEMBER(T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)